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*Vision. Collaboration. Action.*

# PARTNERS OF THE AMERICAS, INC.

Investment Review

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# Investment Review

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# Portfolio Review

| Investment Review - Allocation 01/01/2012 through 09/30/2012 | | | | | | |
|---|---|---|---|---|---|---|
| *Inv Manager or Sub-Advisor*<br>Investment Option | Beginning Balance | Breakdown % | Contributions/ Additions | Breakdown % | Ending Balance | Breakdown % |
| **Large U.S. Equity** | | | | | | |
| **Large Value** | | | | | | |
| *American Century Inv. Mgmt.*<br>American Century Equity Income A Fund [7] | $97,920 | 8.96% | $326 | 0.26% | $109,456 | 8.19% |
| *Edge Asset Management, Inc.*<br>Equity Income R2 Fund [A, 9] | $93,342 | 8.54% | $0 | 0.00% | $104,348 | 7.81% |
| **Large Blend** | | | | | | |
| *Principal Global Investors*<br>LargeCap S&P 500 Index R2 Fund [A, 2, 5, 32] | $0 | 0.00% | $290 | 0.23% | $303 | 0.02% |
| **Large Growth** | | | | | | |
| *Capital Research and Mgmt Co*<br>American Funds Growth Fund of America R3 Fund [*29] | $122,014 | 11.17% | $0 | 0.00% | $0 | 0.00% |
| *MFS Investment Management*<br>MFS Growth R2 Fund [29] | $0 | 0.00% | $0 | 0.00% | $143,253 | 10.72% |
| *Neuberger Berman Mgmt. Inc.*<br>Neuberger Berman Socially Responsive Tr Fund | $159 | 0.01% | $326 | 0.26% | $510 | 0.04% |
| *T. Rowe Price/Brown Advisory*<br>LargeCap Growth I R2 Fund [A, 21, 23, 25] | $160 | 0.01% | $326 | 0.26% | $528 | 0.04% |
| **Small/Mid U.S. Equity** | | | | | | |
| **Mid Cap Growth** | | | | | | |
| *American Century Inv. Mgmt.*<br>American Century Heritage A Fund [1] | $49,058 | 4.49% | $943 | 0.74% | $58,528 | 4.38% |
| **Small Value** | | | | | | |
| *Goldman Sachs Asset Mgt*<br>Goldman Sachs Small Cap Value C Fund [1, 29] | $19,997 | 1.83% | $0 | 0.00% | $22,482 | 1.68% |
| **Small Growth** | | | | | | |
| *MFS Investment Management*<br>MFS New Discovery R1 Fund [1, 29] | $20,958 | 1.92% | $354 | 0.28% | $0 | 0.00% |
| *MFS Investment Management*<br>MFS New Discovery R2 Fund [1, 29] | $0 | 0.00% | $136 | 0.11% | $26,001 | 1.95% |

# Portfolio Review

| Investment Review - Allocation 01/01/2012 through 09/30/2012 | | | | | | |
|---|---|---|---|---|---|---|
| *Inv Manager or Sub-Advisor*<br>Investment Option | Beginning Balance | Breakdown % | Contributions/ Additions | Breakdown % | Ending Balance | Breakdown % |
| **Real Estate** | | | | | | |
| *Principal Real Estate Inv*<br>Real Estate Securities R2 Fund [A, 4] | $32,175 | 2.95% | $326 | 0.26% | $36,924 | 2.76% |
| International Equity | | | | | | |
| **Diversified Emerging Markets** | | | | | | |
| *OppenheimerFunds, Inc.*<br>Oppenheimer Developing Markets C Fund [3] | $17,227 | 1.58% | $2,657 | 2.08% | $21,950 | 1.64% |
| **Foreign Large Value** | | | | | | |
| *MFS Investment Management*<br>MFS International Value R2 Fund [3, 29] | $0 | 0.00% | $0 | 0.00% | $70,222 | 5.26% |
| **Foreign Large Blend** | | | | | | |
| *Capital Research and Mgmt Co*<br>American Funds EuroPacific Growth R3 Fund [3, 29] | $1,924 | 0.18% | $326 | 0.26% | $2,510 | 0.19% |
| *Principal Global Investors*<br>Diversified International R2 Fund [A, 3] | $4,534 | 0.42% | $495 | 0.39% | $5,307 | 0.40% |
| *Putnam Investment Mgmt Co.*<br>Putnam International Equity A Fund [*3] | $63,240 | 5.79% | $0 | 0.00% | $0 | 0.00% |
| **World Stock** | | | | | | |
| *Capital Research and Mgmt Co*<br>American Funds New Perspective R3 Fund [3, 29] | $1,988 | 0.18% | $163 | 0.13% | $2,473 | 0.19% |
| Balanced/Asset Allocation | | | | | | |
| **Retirement Income** | | | | | | |
| *Multiple Sub-Advisors*<br>Principal LifeTime Strategic Income R2 Fund [A, 13, 17, 26, 27, 30] | $384,157 | 35.16% | $54,624 | 42.74% | $468,810 | 35.09% |
| **Target Date 2026-2030** | | | | | | |
| *Multiple Sub-Advisors*<br>Principal LifeTime 2030 R2 Fund [A, 13, 17, 26, 27, 30] | $39,604 | 3.63% | $15,356 | 12.01% | $60,546 | 4.53% |
| **Target Date 2036-2040** | | | | | | |
| *Multiple Sub-Advisors*<br>Principal LifeTime 2040 R2 Fund [A, 13, 17, 26, 27, 30] | $63,571 | 5.82% | $28,696 | 22.45% | $96,461 | 7.22% |

# Portfolio Review

| Investment Review - Allocation 01/01/2012 through 09/30/2012 | | | | | | |
|---|---|---|---|---|---|---|
| *Inv Manager or Sub-Advisor*<br>Investment Option | Beginning Balance | Breakdown % | Contributions/ Additions | Breakdown % | Ending Balance | Breakdown % |
| **Target Date 2046-2050** | | | | | | |
| *Multiple Sub-Advisors*<br>Principal LifeTime 2050 R2 Fund [A, 13, 17, 26, 27, 30] | $4,754 | 0.44% | $22,173 | 17.35% | $25,781 | 1.93% |
| Short-Term Fixed Income | | | | | | |
| **GIC** | | | | | | |
| Fixed Income Option non 401(a) [11, 16#] | $44,914 | 4.11% | $0 | 0.00% | $45,890 | 3.44% |
| Fixed Income | | | | | | |
| **Intermediate-Term Bond** | | | | | | |
| *PIMCO*<br>PIMCO Investment Grade Corporate Bond C Fund [15, 17, 29] | $0 | 0.00% | $0 | 0.00% | $33,387 | 2.50% |
| *Principal Global Investors*<br>Bond & Mortgage Securities R2 Fund [A, 15, 17, 32] | $0 | 0.00% | $290 | 0.23% | $296 | 0.02% |
| *Russell Investment Group*<br>Russell Investment Grade Bond E Fund [*15, 17, 29] | $30,748 | 2.81% | $0 | 0.00% | $0 | 0.00% |
| TOTAL | $1,092,444 | 100% | $127,807 | 100% | $1,335,966 | 100% |

** This investment option is closed to new contributions.*

*Contributions/Additions reflect contributions, negative contributions, loan payments, etc. Withdrawal/Deductions reflect distribution requests such as terminations, death, disability, and loans. Participant and Employer level investment transfers are not included in these columns.*

*Please see important disclosures at the end of this presentation.*

# Investment Performance

*Investment results shown represent historical performance and do not guarantee future results. Investment returns and principal values fluctuate with changes in interest rates and other market conditions so the value, when redeemed may be worth more or less than original costs. Current performance may be lower or higher than the performance data shown.*

*In situations where the net and gross total investment expense figures are different, the mutual fund or underlying fund in which a Separate Account invests has waived/capped a portion of its management fees through the date displayed in the Waiver Expiration Date or Contractual Cap Expiration Date column. Differences may also be shown due to the fund family choosing to pay certain expenses that would normally be payable by the fund. Returns displayed are always based on net total investment expense.*

*For more performance information, including most recent month-end performance, visit www.principal.com, contact your representative of the Principal Financial Group® (The Principal®), or call our Participant Call Center at 1-800-547-7754.*

| | Average Annual Total Returns through 09/30/2012 | | | | | | Percentile Rankings as of 09/30/2012 | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| *Inv Manager or Sub-Advisor*<br>Investment Option | 1 yr. | 3 yr. | 5 yr. | 10 yr. | Since Inception | Inception Date | 1 yr. | 3 yr. | 5 yr. | 10 yr. | Total Inv. Exp. Net / Gross | Contractual Cap/Waiver Expire Date |
| **Large U.S. Equity** | | | | | | | | | | | | |
| **Large Value** | | | | | | | | | | | | |
| *American Century Inv. Mgmt.*<br>American Century Equity Income A Fund [7] | 23.20 | 11.10 | 2.14 | 7.97 | 8.48 | 03/07/1997 | 87 | 36 | 8 | 29 | 1.20 / 1.20 | -<br>- |
| *Edge Asset Management, Inc.*<br>Equity Income R2 Fund [A, 9] | 25.52 | 12.85 | 0.51 | 8.72 | 8.34 | 03/01/2010 | 71 | 14 | 25 | 11 | 1.26 / 1.26 | -<br>- |
| *Russell 1000 Value Index* | *30.92* | *11.84* | *-0.90* | *8.17* | - | | - | - | - | - | | |
| *Morningstar Category Average - Large Value* | *27.19* | *10.42* | *-0.88* | *7.36* | *Total Funds in Category* | | *1207* | *1063* | *938* | *587* | - | |
| **Large Blend** | | | | | | | | | | | | |
| *Principal Global Investors*<br>LargeCap S&P 500 Index R2 Fund [A, 2, 5, 32] | 29.04 | 12.18 | 0.14 | 7.01 | 1.55 | 12/06/2000 | 37 | 35 | 51 | 64 | 0.91 / 0.91 | -<br>- |
| *Standard & Poor's 500 Index* | *30.20* | *13.20* | *1.05* | *8.01* | - | | - | - | - | - | | |
| *Morningstar Category Average - Large Blend* | *27.07* | *10.89* | *-0.03* | *7.32* | *Total Funds in Category* | | *1712* | *1524* | *1328* | *832* | - | |

# Investment Performance

| Inv Manager or Sub-Advisor<br>Investment Option | Average Annual Total Returns through 09/30/2012<br>1 yr. | 3 yr. | 5 yr. | 10 yr. | Since Inception | Inception Date | Percentile Rankings as of 09/30/2012<br>1 yr. | 3 yr. | 5 yr. | 10 yr. | Total Inv. Exp. Net / Gross | Contractual Cap/Waiver Expire Date |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Large Growth** | | | | | | | | | | | | |
| *MFS Investment Management*<br>MFS Growth R2 Fund [29] | 26.78 | 12.75 | 3.18 | 9.44 | 7.14 | 10/31/2003 | 49 | 34 | 15 | 14 | 1.43 / 1.43 | -<br>- |
| *Neuberger Berman Mgmt. Inc.*<br>Neuberger Berman Socially Responsive Tr Fund | 20.45 | 10.83 | 0.18 | 8.61 | 6.05 | 03/03/1997 | 94 | 65 | 66 | 26 | 1.08 / 1.08 | -<br>- |
| *T. Rowe Price/Brown Advisory*<br>LargeCap Growth I R2 Fund [A, 21, 23, 25] | 29.02 | 14.11 | 3.28 | 7.65 | 1.07 | 12/06/2000 | 32 | 18 | 14 | 47 | 1.36 / 1.38 | 02/28/2013<br>02/28/2013 |
| *Russell 1000 Growth Index* | *29.19* | *14.73* | *3.24* | *8.41* | - | | - | - | - | - | | |
| *Morningstar Category Average - Large Growth* | *26.84* | *11.91* | *1.10* | *7.74* | *Total Funds in Category* | | *1678* | *1514* | *1311* | *867* | - | |
| **Small/Mid U.S. Equity** | | | | | | | | | | | | |
| **Mid Cap Growth** | | | | | | | | | | | | |
| *American Century Inv. Mgmt.*<br>American Century Heritage A Fund [1] | 26.36 | 14.56 | 2.35 | 11.20 | 7.76 | 07/11/1997 | 37 | 25 | 38 | 21 | 1.26 / 1.26 | -<br>- |
| *Principal Global Investors*<br>MidCap Blend R2 Fund [A, 1] | 29.55 | 16.88 | 5.06 | 10.70 | 7.84 | 12/06/2000 | 15 | 9 | 8 | 31 | 1.38 / 1.38 | -<br>- |
| *Russell Midcap Growth Index* | *26.69* | *14.73* | *2.54* | *11.11* | - | | - | - | - | - | | |
| *Russell Midcap Index* | *28.03* | *14.26* | *2.24* | *11.18* | - | | - | - | - | - | | |
| *Morningstar Category Average - Mid Cap Growth* | *24.40* | *12.74* | *1.34* | *9.43* | *Total Funds in Category* | | *743* | *673* | *597* | *429* | - | |
| **Small Value** | | | | | | | | | | | | |
| *Goldman Sachs Asset Mgt*<br>Goldman Sachs Small Cap Value C Fund [1, 29] | 32.96 | 13.87 | 3.44 | 9.53 | 7.43 | 08/15/1997 | 24 | 15 | 26 | 74 | 2.19 / 2.21 | 12/29/2012<br>12/29/2012 |
| *Russell 2000 Value Index* | *32.63* | *11.72* | *1.35* | *9.68* | - | | - | - | - | - | | |
| *Morningstar Category Average - Small Value* | *29.25* | *11.49* | *2.04* | *10.24* | *Total Funds in Category* | | *364* | *290* | *253* | *152* | - | |
| **Small Blend** | | | | | | | | | | | | |
| *Principal Global Investors*<br>SmallCap S&P 600 Index R2 Fund [A, 1, 2, 6] | 31.94 | 13.98 | 2.35 | 9.73 | 7.32 | 12/06/2000 | 29 | 23 | 33 | 43 | 0.93 / 0.93 | -<br>- |
| *Standard & Poor's 600 Stock Index* | *33.35* | *15.14* | *3.29* | *10.74* | - | | - | - | - | - | | |
| *Morningstar Category Average - Small Blend* | *29.94* | *12.49* | *1.46* | *9.49* | *Total Funds in Category* | | *660* | *597* | *513* | *309* | - | |

# Investment Performance

| | Average Annual Total Returns through 09/30/2012 | | | | | | Percentile Rankings as of 09/30/2012 | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| *Inv Manager or Sub-Advisor* Investment Option | 1 yr. | 3 yr. | 5 yr. | 10 yr. | Since Inception | Inception Date | 1 yr. | 3 yr. | 5 yr. | 10 yr. | Total Inv. Exp. Net / Gross | Contractual Cap/Waiver Expire Date |
| **Small Growth** | | | | | | | | | | | | |
| *MFS Investment Management* MFS New Discovery R1 Fund [1, 29] | 30.19 | 14.76 | 5.40 | 8.70 | 8.01 | 04/01/2005 | 38 | 37 | 6 | 71 | 2.09 / 2.11 | - 12/31/2013 |
| *MFS Investment Management* MFS New Discovery R2 Fund [1, 29] | 30.81 | 15.31 | 5.93 | 9.22 | 6.87 | 10/31/2003 | 33 | 31 | 4 | 64 | 1.59 / 1.61 | - 12/31/2013 |
| *Russell 2000 Growth Index* | *31.18* | *14.19* | *2.96* | *10.55* | - | | - | - | - | - | | |
| *Morningstar Category Average - Small Growth* | *28.57* | *13.47* | *1.74* | *9.61* | *Total Funds in Category* | | *751* | *671* | *582* | *383* | - | |
| **Real Estate** | | | | | | | | | | | | |
| *Principal Real Estate Inv* Real Estate Securities R2 Fund [A, 4] | 31.49 | 18.75 | 2.84 | 11.78 | 11.48 | 12/06/2000 | 51 | 72 | 21 | 27 | 1.58 / 1.58 | - - |
| *MSCI US REIT Index* | *32.44* | *20.52* | *2.13* | *11.32* | - | | - | - | - | - | | |
| *Morningstar Category Average - Real Estate* | *31.89* | *19.74* | *1.64* | *10.48* | *Total Funds in Category* | | *258* | *216* | *201* | *119* | - | |
| **International Equity** | | | | | | | | | | | | |
| **Diversified Emerging Markets** | | | | | | | | | | | | |
| *OppenheimerFunds, Inc.* Oppenheimer Developing Markets C Fund [3] | 19.38 | 8.74 | 2.63 | 19.99 | 13.87 | 11/18/1996 | 21 | 6 | 5 | 3 | 2.01 / 2.01 | - - |
| *MSCI - Emerging Markets NDTR D Index* | *16.93* | *5.63* | *-1.28* | *17.00* | - | | - | - | - | - | | |
| *Morningstar Category Average - Diversified Emerging Markets* | *15.94* | *4.61* | *-2.72* | *15.71* | *Total Funds in Category* | | *520* | *354* | *242* | *145* | - | |
| **Foreign Large Value** | | | | | | | | | | | | |
| *MFS Investment Management* MFS International Value R2 Fund [3, 29] | 17.18 | 6.47 | -0.13 | 10.82 | 6.85 | 10/01/2008 | 18 | 4 | 2 | 4 | 1.46 / 1.46 | - - |
| *MSCI EAFE Value Index* | *12.59* | *-0.11* | *-6.33* | *8.49* | - | | - | - | - | - | | |
| *Morningstar Category Average - Foreign Large Value* | *13.46* | *1.22* | *-6.08* | *7.77* | *Total Funds in Category* | | *361* | *323* | *257* | *146* | - | |

# Investment Performance

| | Average Annual Total Returns through 09/30/2012 | | | | | | Percentile Rankings as of 09/30/2012 | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| *Inv Manager or Sub-Advisor* Investment Option | 1 yr. | 3 yr. | 5 yr. | 10 yr. | Since Inception | Inception Date | 1 yr. | 3 yr. | 5 yr. | 10 yr. | Total Inv. Exp. Net / Gross | Contractual Cap/Waiver Expire Date |
| **Foreign Large Blend** | | | | | | | | | | | | |
| *Capital Research and Mgmt Co*<br>American Funds EuroPacific Growth R3 Fund [3, 29] | 17.70 | 3.04 | -2.49 | 9.92 | 6.92 | 05/21/2002 | 30 | 42 | 16 | 13 | 1.14 / 1.14 | -<br>- |
| *Principal Global Investors*<br>Diversified International R2 Fund [A, 3] | 16.09 | 4.38 | -6.21 | 8.31 | 2.62 | 12/06/2000 | 47 | 20 | 72 | 33 | 1.66 / 1.66 | -<br>- |
| *MSCI - EAFE Index NDTR D* | *13.75* | *2.12* | *-5.24* | *8.20* | - | | - | - | - | - | | |
| *MSCI ACWI Ex USA Index* | *14.48* | *3.17* | *-4.12* | *9.84* | - | | - | - | - | - | | |
| *Morningstar Category Average - Foreign Large Blend* | *16.00* | *2.67* | *-5.09* | *7.76* | *Total Funds in Category* | | *823* | *734* | *593* | *331* | - | |
| **World Stock** | | | | | | | | | | | | |
| *Capital Research and Mgmt Co*<br>American Funds New Perspective R3 Fund [3, 29] | 22.87 | 8.02 | 0.31 | 10.28 | 7.23 | 06/04/2002 | 26 | 37 | 20 | 24 | 1.11 / 1.11 | -<br>- |
| *MSCI World NDTR D Index* | *21.59* | *7.48* | *-2.15* | *8.04* | - | | - | - | - | - | | |
| *Morningstar Category Average - World Stock* | *19.64* | *7.20* | *-2.03* | *8.68* | *Total Funds in Category* | | *903* | *740* | *529* | *299* | - | |
| **Balanced/Asset Allocation** | | | | | | | | | | | | |
| **Retirement Income** | | | | | | | | | | | | |
| *Multiple Sub-Advisors*<br>Principal LifeTime Strategic Income R2 Fund [A, 13, 17, 26, 27, 30] | 11.32 | 7.85 | 1.79 | 4.94 | 3.93 | 03/01/2001 | 64 | 43 | 85 | 65 | 1.37 / 1.37 | -<br>- |
| *Principal LifeTime Strategic Income Blended Index* | *9.87* | *7.61* | *5.23* | *7.10* | - | | - | - | - | - | | |
| *Morningstar Category Average - Retirement Income* | *12.51* | *7.42* | *2.89* | *5.24* | *Total Funds in Category* | | *280* | *244* | *163* | *21* | - | |
| **Target Date 2000-2010** | | | | | | | | | | | | |
| *Multiple Sub-Advisors*<br>Principal LifeTime 2010 R2 Fund [A, 13, 17, 26, 27, 30] | 15.32 | 8.94 | 0.82 | 5.58 | 4.10 | 03/01/2001 | 28 | 13 | 76 | 77 | 1.44 / 1.44 | -<br>- |
| *Principal LifeTime 2010 Blended Index* | *13.56* | *9.02* | *3.12* | *6.96* | - | | - | - | - | - | | |
| *Morningstar Category Average - Target Date 2000-2010* | *13.36* | *7.68* | *1.85* | *5.99* | *Total Funds in Category* | | *151* | *146* | *125* | *14* | - | |

# Investment Performance

| | Average Annual Total Returns through 09/30/2012 | | | | | | Percentile Rankings as of 09/30/2012 | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| *Inv Manager or Sub-Advisor* Investment Option | 1 yr. | 3 yr. | 5 yr. | 10 yr. | Since Inception | Inception Date | 1 yr. | 3 yr. | 5 yr. | 10 yr. | Total Inv. Exp. Net / Gross | Contractual Cap/Waiver Expire Date |
| **Target Date 2016-2020** | | | | | | | | | | | | |
| *Multiple Sub-Advisors* Principal LifeTime 2020 R2 Fund [A, 13, 17, 26, 27, 30] | 20.07 | 9.33 | 0.27 | 6.25 | 4.36 | 03/01/2001 | 10 | 22 | 75 | 80 | 1.48 / 1.48 | - - |
| *Principal LifeTime 2020 Blended Index* | *19.15* | *9.22* | *1.95* | *7.24* | - | | - | - | - | - | | |
| *Morningstar Category Average - Target Date 2016-2020* | *16.77* | *8.49* | *1.01* | *6.59* | *Total Funds in Category* | | *204* | *189* | *141* | *21* | - | |
| **Target Date 2026-2030** | | | | | | | | | | | | |
| *Multiple Sub-Advisors* Principal LifeTime 2030 R2 Fund [A, 13, 17, 26, 27, 30] | 21.68 | 9.45 | -0.30 | 6.49 | 4.12 | 03/01/2001 | 26 | 29 | 68 | 86 | 1.50 / 1.50 | - - |
| *Principal LifeTime 2030 Blended Index* | *20.61* | *9.50* | *1.21* | *7.40* | - | | - | - | - | - | | |
| *Morningstar Category Average - Target Date 2026-2030* | *19.79* | *8.85* | *-0.05* | *7.05* | *Total Funds in Category* | | *204* | *189* | *141* | *16* | - | |
| **Target Date 2036-2040** | | | | | | | | | | | | |
| *Multiple Sub-Advisors* Principal LifeTime 2040 R2 Fund [A, 13, 17, 26, 27, 30] | 23.05 | 9.42 | -0.86 | 6.53 | 4.03 | 03/01/2001 | 28 | 35 | 72 | 100 | 1.52 / 1.52 | - - |
| *Principal LifeTime 2040 Blended Index* | *21.92* | *9.60* | *0.60* | *7.59* | - | | - | - | - | - | | |
| *Morningstar Category Average - Target Date 2036-2040* | *21.59* | *9.00* | *-0.42* | *7.25* | *Total Funds in Category* | | *200* | *185* | *124* | *16* | - | |
| **Target Date 2046-2050** | | | | | | | | | | | | |
| *Multiple Sub-Advisors* Principal LifeTime 2050 R2 Fund [A, 13, 17, 26, 27, 30] | 23.92 | 9.43 | -1.13 | 6.77 | 3.60 | 03/01/2001 | 24 | 34 | 68 | 80 | 1.54 / 1.54 | - - |
| *Principal LifeTime 2050 Blended Index* | *22.81* | *9.59* | *0.24* | *7.92* | - | | - | - | - | - | | |
| *Morningstar Category Average - Target Date 2046-2050* | *22.23* | *9.03* | *-0.56* | *7.06* | *Total Funds in Category* | | *173* | *149* | *74* | *6* | - | |

# Investment Performance

| | Average Annual Total Returns through 09/30/2012 | | | | | | Percentile Rankings as of 09/30/2012 | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| *Inv Manager or Sub-Advisor* Investment Option | 1 yr. | 3 yr. | 5 yr. | 10 yr. | Since Inception | Inception Date | 1 yr. | 3 yr. | 5 yr. | 10 yr. | Total Inv. Exp. Net / Gross | Contractual Cap/Waiver Expire Date |
| **Fixed Income** | | | | | | | | | | | | |
| **Intermediate-Term Bond** | | | | | | | | | | | | |
| *PIMCO*<br>PIMCO Investment Grade Corporate Bond C Fund [15, 17, 29] | 14.26 | 9.97 | 9.61 | 7.35 | 7.24 | 07/30/2004 | 2 | 5 | 2 | 4 | 1.65 / 1.65 | -<br>- |
| *Principal Global Investors*<br>Bond & Mortgage Securities R2 Fund [A, 15, 17, 32] | 7.23 | 8.19 | 4.75 | 3.95 | 4.60 | 12/06/2000 | 53 | 21 | 86 | 89 | 1.28 / 1.28 | -<br>- |
| *Barclays Aggregate Bond Index* | *5.16* | *6.19* | *6.53* | *5.32* | - | | - | - | - | - | | |
| *Barclays U.S. Government/Credit 5-10 Year Index* | *8.23* | *8.91* | *8.39* | *6.47* | - | | - | - | - | - | | |
| *Morningstar Category Average - Intermediate-Term Bond* | *7.70* | *7.13* | *6.30* | *5.22* | *Total Funds in Category* | | *1175* | *1019* | *888* | *615* | - | |

*Please see important disclosures at the end of this presentation.*

# Style Grid

| Large U.S. Equity | | |
|---|---|---|
| **Large Value** | **Large Blend** | **Large Growth** |
| American Century Equity Income A Fund [7]<br>Equity Income R2 Fund [9] | LargeCap S&P 500 Index R2 Fund [2, 5, 32] ++ | MFS Growth R2 Fund [29]<br>Neuberger Berman Socially Responsive Tr Fund<br>LargeCap Growth I R2 Fund [21, 23, 25] |
| **Small/Mid U.S. Equity** | | |
| **Mid Cap Value** | **Mid Cap Blend** | **Mid Cap Growth** |
| | | American Century Heritage A Fund [1]<br>MidCap Blend R2 Fund [1] |
| **Small Value** | **Small Blend** | **Small Growth** |
| Goldman Sachs Small Cap Value C Fund [1, 29] | SmallCap S&P 600 Index R2 Fund [1, 2, 6] ++ | MFS New Discovery R1 Fund [1, 29]<br>MFS New Discovery R2 Fund [1, 29] |

# Style Grid

| Specialty-Real Estate |
| --- |
| Real Estate Securities R2 Fund [4] |

# Style Grid

| International Equity | Balanced/Asset Allocation | Short-Term Fixed Income |
|---|---|---|
| American Funds EuroPacific Growth R3 Fund [3, 29]<br>American Funds New Perspective R3 Fund [3, 29]<br>American Funds<br>MFS International Value R2 Fund [3, 29]<br>MFS<br>Oppenheimer Developing Markets C Fund [3]<br>OppenheimerFunds The Right Way to Invest<br>Diversified International R2 Fund [3]<br>Principal Global Investors | Principal LifeTime Strategic Income R2 Fund [13, 17, 26, 27, 30]<br>Principal LifeTime 2010 R2 Fund [13, 17, 26, 27, 30]<br>Principal LifeTime 2020 R2 Fund [13, 17, 26, 27, 30]<br>Principal LifeTime 2030 R2 Fund [13, 17, 26, 27, 30]<br>Principal LifeTime 2040 R2 Fund [13, 17, 26, 27, 30]<br>Principal LifeTime 2050 R2 Fund [13, 17, 26, 27, 30]<br>Multiple Sub-Advisors | Fixed Income Option non 401(a) [11, 16] # |

| Fixed Income |
|---|
| PIMCO Investment Grade Corporate Bond C Fund [15, 17, 29]<br>PIMCO<br>Bond & Mortgage Securities R2 Fund [15, 17, 32]<br>Principal Global Investors |

*You are responsible for the selection of specific investment options for your retirement plan. While the investment options above provide a starting point for you to consider, we also offer additional investment options other than those illustrated above.*

*Please see important disclosures at the end of this presentation.*

# Scores: Sub-Advised Investment Options as of 09/30/2012

| *Inv Manager or Sub-Advisor*<br>Investment Option | Qualitative<br>Investment Advisor(s)<br>Score | Grade | Cautionary Status | Quantitative<br>Investment Option<br>Score | Grade | Cautionary Status | Comments |
|---|---|---|---|---|---|---|---|
| **Large U.S. Equity** | | | | | | | |
| **Large Value** | | | | | | | |
| *Edge Asset Management, Inc.*<br>Equity Income R2 Fund [A, 9] | 2.12 | Favorable | | 1.30 | Favorable | | |
| **Large Blend** | | | | | | | |
| *Principal Global Investors*<br>LargeCap S&P 500 Index R2 Fund [A, 2, 5, 32] | 1.00 | Favorable | | 2.00 | Favorable | | |
| **Large Growth** | | | | | | | |
| *T. Rowe Price/Brown Advisory*<br>LargeCap Growth I R2 Fund [A, 21, 23, 25] | 1.84 | Favorable | | 1.48 | Favorable | | Brown Advisory was added as a sub-advisor in July 2009. |
| **Small/Mid U.S. Equity** | | | | | | | |
| **Mid Cap Growth** | | | | | | | |
| *Principal Global Investors*<br>MidCap Blend R2 Fund [A, 1] | 2.03 | Favorable | | 1.08 | Favorable | | |
| **Small Blend** | | | | | | | |
| *Principal Global Investors*<br>SmallCap S&P 600 Index R2 Fund [A, 1, 2, 6] | 1.00 | Favorable | | 2.00 | Favorable | | |
| **Real Estate** | | | | | | | |
| *Principal Real Estate Inv*<br>Real Estate Securities R2 Fund [A, 4] | 1.79 | Favorable | | 1.84 | Favorable | | |
| **International Equity** | | | | | | | |
| **Foreign Large Blend** | | | | | | | |
| *Principal Global Investors*<br>Diversified International R2 Fund [A, 3] | 2.03 | Favorable | | 1.90 | Favorable | | |

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# Scores: Sub-Advised Investment Options as of 09/30/2012

| *Inv Manager or Sub-Advisor* Investment Option | Qualitative Investment Advisor(s) Score | Qualitative Investment Advisor(s) Grade | Qualitative Investment Advisor(s) Cautionary Status | Quantitative Investment Option Score | Quantitative Investment Option Grade | Quantitative Investment Option Cautionary Status | Comments |
|---|---|---|---|---|---|---|---|
| **Fixed Income** | | | | | | | |
| **Intermediate-Term Bond** | | | | | | | |
| *Principal Global Investors* Bond & Mortgage Securities R2 Fund [A, 15, 17, 32] | 1.82 | Favorable | | 2.18 | Favorable | | |

*Please see important disclosures at the end of this presentation.*

*WL denotes applicable Watch List status.*

*PR denotes Probation status.*

*Balanced/Asset Allocation investment options will not be scored using our methodology. Instead, our review for these investment strategies focuses on the structure and consistency of the underlying asset allocation models and the capital market assumptions used to support them. Therefore, no Balanced/Asset Allocation options are displayed here. However, Sub-Advised Balanced/Asset Allocation investment options are still subject to the oversight of our due diligence process.*

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# Sub-Advised Investment Option Quantitative Scores - Last Four Quarters

| *Inv Manager or Sub-Advisor*<br>Investment Option | 09/30/2012 Investment Option Score | 09/30/2012 Investment Option Grade | 06/30/2012 Investment Option Score | 06/30/2012 Investment Option Grade | 03/31/2012 Investment Option Score | 03/31/2012 Investment Option Grade | 12/31/2011 Investment Option Score | 12/31/2011 Investment Option Grade |
|---|---|---|---|---|---|---|---|---|
| **Large U.S. Equity** | | | | | | | | |
| **Large Value** | | | | | | | | |
| *Edge Asset Management, Inc.*<br>Equity Income R2 Fund [A, 9] | 1.30 | Favorable | 1.44 | Favorable | 1.69 | Favorable | 1.33 | Favorable |
| **Large Blend** | | | | | | | | |
| *Principal Global Investors*<br>LargeCap S&P 500 Index R2 Fund [A, 2, 5, 32] | 2.00 | Favorable | 2.00 | Favorable | 2.00 | Favorable | 2.00 | Favorable |
| **Large Growth** | | | | | | | | |
| *T. Rowe Price/Brown Advisory*<br>LargeCap Growth I R2 Fund [A, 21, 23, 25] | 1.48 | Favorable | 1.43 | Favorable | 1.17 | Favorable | 1.37 | Favorable |
| **Small/Mid U.S. Equity** | | | | | | | | |
| **Mid Cap Growth** | | | | | | | | |
| *Principal Global Investors*<br>MidCap Blend R2 Fund [A, 1] | 1.08 | Favorable | 1.24 | Favorable | 1.35 | Favorable | 1.24 | Favorable |
| **Small Blend** | | | | | | | | |
| *Principal Global Investors*<br>SmallCap S&P 600 Index R2 Fund [A, 1, 2, 6] | 2.00 | Favorable | 2.00 | Favorable | 2.00 | Favorable | 2.00 | Favorable |
| **Real Estate** | | | | | | | | |
| *Principal Real Estate Inv*<br>Real Estate Securities R2 Fund [A, 4] | 1.84 | Favorable | 1.98 | Favorable | 2.41 | Favorable | 2.05 | Favorable |
| **International Equity** | | | | | | | | |
| **Foreign Large Blend** | | | | | | | | |
| *Principal Global Investors*<br>Diversified International R2 Fund [A, 3] | 1.90 | Favorable | 1.75 | Favorable | 1.84 | Favorable | 1.90 | Favorable |

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# Sub-Advised Investment Option Quantitative Scores - Last Four Quarters

| *Inv Manager or Sub-Advisor*<br>Investment Option | 09/30/2012 Investment Option Score | 09/30/2012 Investment Option Grade | 06/30/2012 Investment Option Score | 06/30/2012 Investment Option Grade | 03/31/2012 Investment Option Score | 03/31/2012 Investment Option Grade | 12/31/2011 Investment Option Score | 12/31/2011 Investment Option Grade |
|---|---|---|---|---|---|---|---|---|
| **Fixed Income** | | | | | | | | |
| **Intermediate-Term Bond** | | | | | | | | |
| *Principal Global Investors*<br>Bond & Mortgage Securities R2 Fund [A, 15, 17, 32] | 2.18 | Favorable | 2.16 | Favorable | 2.21 | Favorable | 2.19 | Favorable |

*Please see important disclosures at the end of this presentation.*

*Balanced/Asset Allocation investment options will not be scored using our methodology. Instead, our review for these investment strategies focuses on the structure and consistency of the underlying asset allocation models and the capital market assumptions used to support them. Therefore, no Balanced/Asset Allocation options are displayed here. However, Sub-Advised Balanced/Asset Allocation investment options are still subject to the oversight of our due diligence process.*

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## Sub-Advised Investment Option Scoring Criteria

**We analyze investment options both qualitatively and quantitatively.**

***Qualitative Analysis***

We look at an investment manager's investment philosophy and process, and resources. This evaluation helps to ensure an investment manager retains the same organizational and investment characteristics that were the basis for our original selection decision. Analyzing qualitative factors is perhaps the most critical aspect of the monitoring process for our sub-advised investment options because we believe the factors we analyze can help determine the investment manager's ability to add value in the future.

***Quantitative Analysis***

In contrast, our quantitative analysis focuses on the elements of the investment option that can be measured objectively and compared to certain benchmarks or peer groups, such as historical performance. Quantitative assessments are necessary because they provide valuable insight into the level of historical investment performance of the investment option.

## Investment Manager Scoring

Based on our qualitative analysis, we score each investment manager every quarter. Likewise, we provide a quantitative score for each investment option on a quarterly basis. Our methodology scores them on a scale of 1.0-4.0 (with 1.0 being the best). The scores, grades, and explanations are as follows:

| Scores | Grades | Explanation |
|---|---|---|
| 1.00 - 2.50 | Favorable | Meeting or exceeding our expectations |
| 2.51 – 3.00 | Neutral | Not exceeding expectations but still in good standing |
| 3.01 – 4.00 | Less Favorable | Significantly below our expectations |

## Qualitative Score

***Organization, Investment Philosophy and Process, and People***

This part of the evaluation focuses on the investment manager's ability to add value in the future given the state of their existing organization, the soundness of their investment philosophy and process, and the depth and quality of their people. For multi-manager investment options, the Qualitative Score is based on a weighted average of scores for all managers. End of quarter market values are used to derive the appropriate advisor weights.

| Qualitative Score | | |
|---|---|---|
| 30% Organization | 50% Investment Philosophy and Process | 20% People |

## Quantitative Score

***Performance[#]***

The purpose of analyzing historical performance is to determine whether an investment option has delivered acceptable investment results and the manager(s) that comprise the investment option have demonstrated skill. We score an investment option's gross performance[****] based on their three- and five-year risk-adjusted excess returns relative to a passive index (i.e. information ratio), three- and five-year Morningstar percentile rankings within an appropriate peer group, and three-year consistency of performance relative to a passive index[***]. For example, if ABC Investment Option is a large growth investment option, we'll typically compare it to the Russell 1000 Growth Index for a passive index. We'll then compare it to the Morningstar Large Growth Category for a peer group comparison.

If the investment option's performance tenure is less than three years, the actual performance may be combined with the manager's performance history in managing other mutual funds or portfolios which have substantially similar mandates and were identified by our team of investment analysts in the selection and retention process.

| Quantitative Score | | | | |
|---|---|---|---|---|
| 35% Risk-Adjusted Passive Index Performance | | 50% Peer Performance | | 15% Consistency |
| 50% Three-year Returns | 50% Five-year Returns | 50% Three-year Returns | 50% Five-year Returns | 100% Three-year Returns |

*Please see important information on the next page.*

[***] If an investment option has at least a three-year performance record, but not a five-year performance record, we will weight 50% of the historical performance score based on three-year performance and 50% based on inception-to-date performance. If an investment option does not have at least a three-year performance record, we will weight 100% of the historical performance score based on inception-to-date performance. However, an investment option must at least have 12 months of performance to be scored.

[#] We generally score our sub-advised investment options based on the Institutional class shares of the Principal Funds.

[****] Gross returns are not indicative of the returns for any specific rate level or share class available to the public. Performance and expenses for other share classes or rate levels may differ.

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## Cautionary Status

Cautionary Status means that our due diligence process has uncovered a concern with the investment option that requires further monitoring. For quantitative, or performance-related concerns, there are two levels of cautionary status: The Watch List and Probation. For qualitative concerns, only Watch List status is applicable.

***The Watch List***

Investment options may be placed on the Watch List for quantitative reasons (performance), qualitative reasons (firm or process) or both. Quantitative Watch List Status will be triggered if long-term performance is significantly below our expectations. Performance results of the investment option are used to determine Quantitative Watch List status. Qualitative Watch List status typically arises from a significant event that is a major change in the organization, the investment process, or a compliance issue. Being placed on the Watch List does not necessarily mean that the option is no longer an appropriate investment option. Instead, this status is meant to communicate our increased level of concern about a particular issue or event, which if left unresolved, could endanger the relationship. An investment manager is placed on the Watch List for a length of time that will not exceed 12 months. After 12 months the manager may be removed from the Watch List or terminated. If the investment option is on the Watch List for quantitative or performance concerns and the due diligence process determines removal from the Watch List is appropriate, the investment option may be placed on Probation until such time that the manager's performance improves.

| The Watch List - What signs do we look for? | |
|---|---|
| **Qualitative Signals** | **Quantitative Signals** |
| There are a variety of organizational or investment process-related events that may cause us to place an investment manager on our Watch List. The most common issues and events are:<br>• A change in the investment manager's ownership structure<br>• A loss of key investment personnel<br>• A major shift in the investment manager's investment philosophy<br>• Significant changes in key aspects of the investment process (i.e., style drift, risk controls)<br>• Client losses and/or declining assets under management<br>• Compliance and investment guideline violations | Over short time periods, an unskilled manager can outperform a skilled manager simply due to luck. Over longer time periods, though, this short-term randomness diminishes and a more accurate picture of an investment manager's skill emerges. Accordingly, we use longer time periods - three and five years - to evaluate investment performance. For active investment strategies, an investment option is placed on the Watch List if the Investment Option Grade is "Less Favorable" for two of three consecutive quarters.<br>Note: To make sure we provide an accurate picture of a "newly" hired investment manager, they will be given an appropriate time frame (approximately two to three years) before placing the investment option on the Watch List for quantitative reasons. This will help to prevent unnecessary action immediately after hiring a new investment manager, and allow for evaluation over longer periods. |

| Probation - How does it work? |
|---|
| The cautionary status of Probation may be assigned to an investment option for the following reasons:<br>• An investment option has been removed from the Quantitative Watch List because the due diligence process has determined that the manager(s) has made improvements in the short-term that have the potential to be sustainable over the long term. However, long-term performance is still below our expectations and requires addititonal monitoring.<br>• An investment option has been removed from the Quantitative Watch List because the due diligence process has determined that the underperformance that led to Watch List status is explainable in light of the process used by the manager(s) based on the market environment at that time. However, long-term performance is still below our expectations and requires additional monitoring.<br>• A manager(s) is removed from an investment option due to performance reasons but the investment option's long-term performance is still below our expectations and requires additional monitoring. In this situation, the due diligence process recognizes that while removal of the underperforming manager(s) has the potential to improve performance, the long-term performance history still contains the manager(s) that have led to the underperformance.<br>The status of Probation is conferred on an investment option for an indefinite period of time. However, the due diligence process can remove a manager at any time, including while on Probation. Probation status is lifted only after the investment option scores "Favorable" for one quarter based on the quantitative scoring criteria of the due diligence process, which focuses on three- and five-year results. |

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# Mutual Fund Network Quantitative Scores as of 09/30/2012

| *Inv Manager or Sub-Advisor*<br>Investment Option | Quantitative | |
|---|---|---|
| | Score | Grade |
| **Large U.S. Equity** | | |
| **Large Value** | | |
| *American Century Inv. Mgmt.*<br>American Century Equity Income A Fund [7] | 1.78 | Favorable |
| **Large Growth** | | |
| *MFS Investment Management*<br>MFS Growth R2 Fund [29] | 2.06 | Favorable |
| *Neuberger Berman Mgmt. Inc.*<br>Neuberger Berman Socially Responsive Tr Fund | 3.29 | Less Favorable |
| **Small/Mid U.S. Equity** | | |
| **Mid Cap Growth** | | |
| *American Century Inv. Mgmt.*<br>American Century Heritage A Fund [1] | 2.00 | Favorable |
| **Small Value** | | |
| *Goldman Sachs Asset Mgt*<br>Goldman Sachs Small Cap Value C Fund [1, 29] | 1.31 | Favorable |
| **Small Growth** | | |
| *MFS Investment Management*<br>MFS New Discovery R1 Fund [1, 29] | 1.46 | Favorable |
| *MFS Investment Management*<br>MFS New Discovery R2 Fund [1, 29] | 1.40 | Favorable |
| **International Equity** | | |
| **Diversified Emerging Markets** | | |
| *OppenheimerFunds, Inc.*<br>Oppenheimer Developing Markets C Fund [3] | 1.13 | Favorable |
| **Foreign Large Value** | | |
| *MFS Investment Management*<br>MFS International Value R2 Fund [3, 29] | 1.06 | Favorable |
| **Foreign Large Blend** | | |
| *Capital Research and Mgmt Co*<br>American Funds EuroPacific Growth R3 Fund [3, 29] | 1.64 | Favorable |

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# Mutual Fund Network Quantitative Scores as of 09/30/2012

| *Inv Manager or Sub-Advisor*<br>Investment Option | Quantitative | |
|---|---|---|
| | Score | Grade |
| **World Stock** | | |
| *Capital Research and Mgmt Co*<br>American Funds New Perspective R3 Fund [3, 29] | 1.54 | Favorable |
| **Fixed Income** | | |
| **Intermediate-Term Bond** | | |
| *PIMCO*<br>PIMCO Investment Grade Corporate Bond C Fund [15, 17, 29] | 1.11 | Favorable |

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*Effective April 30, 2011, Mutual Fund Network investment options are compared to Morningstar's Category Index. Historical quantitative scores prior to this change have not been restated.*

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# Mutual Fund Network Scores - Last Four Quarters

| *Inv Manager or Sub-Advisor*<br>Investment Option | 09/30/2012 | | 06/30/2012 | | 03/31/2012 | | 12/31/2011 | |
|---|---|---|---|---|---|---|---|---|
| | Score | Grade | Score | Grade | Score | Grade | Score | Grade |
| **Large U.S. Equity** | | | | | | | | |
| **Large Value** | | | | | | | | |
| *American Century Inv. Mgmt.*<br>American Century Equity Income A Fund [7] | 1.78 | Favorable | 2.25 | Favorable | 2.68 | Neutral | 2.16 | Favorable |
| **Large Growth** | | | | | | | | |
| *MFS Investment Management*<br>MFS Growth R2 Fund [29] | 2.06 | Favorable | 2.04 | Favorable | 1.67 | Favorable | 1.70 | Favorable |
| *Neuberger Berman Mgmt. Inc.*<br>Neuberger Berman Socially Responsive Tr Fund | 3.29 | Less Favorable | 3.35 | Less Favorable | 3.16 | Less Favorable | 2.84 | Neutral |
| **Small/Mid U.S. Equity** | | | | | | | | |
| **Mid Cap Growth** | | | | | | | | |
| *American Century Inv. Mgmt.*<br>American Century Heritage A Fund [1] | 2.00 | Favorable | 1.72 | Favorable | 2.00 | Favorable | 2.23 | Favorable |
| **Small Value** | | | | | | | | |
| *Goldman Sachs Asset Mgt*<br>Goldman Sachs Small Cap Value C Fund [1, 29] | 1.31 | Favorable | 1.39 | Favorable | 1.78 | Favorable | 1.57 | Favorable |
| **Small Growth** | | | | | | | | |
| *MFS Investment Management*<br>MFS New Discovery R1 Fund [1, 29] | 1.46 | Favorable | 1.44 | Favorable | 1.36 | Favorable | 1.41 | Favorable |
| *MFS Investment Management*<br>MFS New Discovery R2 Fund [1, 29] | 1.40 | Favorable | 1.38 | Favorable | 1.33 | Favorable | 1.36 | Favorable |
| **International Equity** | | | | | | | | |
| **Diversified Emerging Markets** | | | | | | | | |
| *OppenheimerFunds, Inc.*<br>Oppenheimer Developing Markets C Fund [3] | 1.13 | Favorable | 1.14 | Favorable | 1.18 | Favorable | 1.20 | Favorable |
| **Foreign Large Value** | | | | | | | | |
| *MFS Investment Management*<br>MFS International Value R2 Fund [3, 29] | 1.06 | Favorable | 1.06 | Favorable | 1.21 | Favorable | 1.15 | Favorable |
| **Foreign Large Blend** | | | | | | | | |
| *Capital Research and Mgmt Co*<br>American Funds EuroPacific Growth R3 Fund [3, 29] | 1.64 | Favorable | 1.58 | Favorable | 2.16 | Favorable | 1.88 | Favorable |

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# Mutual Fund Network Scores - Last Four Quarters

| *Inv Manager or Sub-Advisor*<br>Investment Option | 09/30/2012 | | 06/30/2012 | | 03/31/2012 | | 12/31/2011 | |
|---|---|---|---|---|---|---|---|---|
| | Score | Grade | Score | Grade | Score | Grade | Score | Grade |
| **World Stock** | | | | | | | | |
| *Capital Research and Mgmt Co*<br>American Funds New Perspective R3 Fund [3, 29] | 1.54 | Favorable | 1.48 | Favorable | 1.63 | Favorable | 1.60 | Favorable |
| **Fixed Income** | | | | | | | | |
| **Intermediate-Term Bond** | | | | | | | | |
| *PIMCO*<br>PIMCO Investment Grade Corporate Bond C Fund [15, 17, 29] | 1.11 | Favorable | 1.19 | Favorable | 1.28 | Favorable | 1.44 | Favorable |

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*Balanced/Asset Allocation investment options will not be scored using our quantitative methodology. Instead, these investment strategies focus on the structure and consistency of the underlying asset allocation models and the capital market assumptions used to support them. Therefore, no Balanced/Asset Allocation investment options are displayed here.*

*Effective April 30, 2011, Mutual Fund Network investment options are compared to Morningstar's Category Index. Historical quantitative scores prior to this change have not been restated.*

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# Mutual Fund Performance Review

The Mutual Fund Performance Review is a proprietary process that provides a framework for identifying and monitoring Mutual Fund Network investment options within each asset class and investment style. It is just one of the ways we can help you monitor your retirement platform. It is a high-level analytical process to help plan sponsors manage fiduciary responsibilities. The review process is based on the quantitative analysis derived from the due diligence process of Principal Life. It is not intended to be investment advice.

The Mutual Fund Performance Review is based on the elements of a fund that can be measured objectively and compared to certain benchmarks and peer groups, such as historical performance. The purpose of analyzing historic performance is to measure whether the fund has delivered acceptable and consistent performance results over time. Keep in mind that past performance is no guarantee of future results.

Actively managed mutual funds strive to deliver excess return relative to their benchmarks. These mutual funds are also compared against a universe of similarly categorized mutual funds by Morningstar. Performance is measured over longer time horizons to capture both up and down market cycles and provide more accurate representations of fund manager skill. Finally, risk-adjusted performance is measured to gauge a fund's risk-reward profile.

As a retirement plan sponsor, you have a lot of responsibility – from increasing participation to tracking investment performance. We can help ease some of your burden when you select investment options from our Mutual Fund network. While not as rigorous as the due diligence monitoring process for our sub-advised investment options, the Mutual Fund Performance Review will help you:

- Monitor Mutual Funds and identify any adverse changes in their performance results
- Review the performance score of each investment option on a quarterly basis

## Mutual Fund Evaluation Criteria:

We make available mutual funds within various asset classes and investment styles. Our goal is to meet the following evaluation criteria.

Based on our quantitative methodology, we score each Mutual Fund Network investment option every quarter. Our methodology scores funds using third party tools such as Zephyr, Morningstar, etc. We use the analytics from these third party tools to compute a score reflected in a scale of 1.0-4.0 (with 1.0 being the best). The scores and explanations are as follows:

| Scores | Grades | Explanation |
|---|---|---|
| 1.00 - 2.50 | Favorable | Mutual Fund performance is meeting or exceeding our expectations |
| 2.51 – 3.00 | Neutral | Mutual Fund performance is not exceeding expectations but still in good standing |
| 3.01 – 4.00 | Less Favorable | Mutual Fund performance is significantly below our expectations |

**Methodology**

The purpose of analyzing historical performance is to determine whether a fund has delivered acceptable investment results. We score a fund's gross performance**** based on three- and five-year risk-adjusted excess returns relative to an index (i.e. information ratio), three- and five-year risk-adjusted peer performance (i.e. information ratio compared to the Morningstar peer group), three- and five-year Morningstar percentile rankings within an appropriate peer group, and three-year consistency of performance relative to an index. If an investment manager has at least a three-year performance record, but not a five-year performance record, we will weight 100% of the historical performance score based on three-year performance. An investment manager must have at least three years of performance to be scored.

For example, if ABC Investment Option is a large growth investment option, we'll typically compare it to the Russell 1000 Growth Index. We'll then compare it to the Morningstar Large Growth Category for a peer group comparison.

**Quantitative Score**

| Quantitative Score | | | | |
|---|---|---|---|---|
| 35% Risk-Adjusted Passive Index Performance | | 50% Peer Performance | | 15% Consistency |
| 50% Three-year Returns | 50% Five-year Returns | 50% Three-year Returns | 50% Five-year Returns | 100% Three-year Returns |

**Course of Action**

Investment performance is by nature cyclical through time. As such, plan sponsors can use the Mutual Fund Performance Review to help them monitor the funds they make available and make decisions accordingly.

**Other Considerations**

While the Mutual Fund Review is based on a quantitative process, the plan sponsor is encouraged to conduct additional reviews and evaluations of the investment options under the Mutual Fund Network. You may want to check with your financial professional to determine if any additional factors should be considered.

Principal Life Insurance Company is not a fiduciary in the broader context of operating your retirement plan or in any manner not specifically assumed in writing.

**** Gross returns are not indicative of the returns for any specific rate level or share class available to the public. Performance and expenses for other share classes or rate levels may differ.

*Balanced/Asset Allocation investment options will not be scored using our quantitative methodology. Instead, these investment strategies focus on the structure and consistency of the underlying asset allocation models and the capital market assumptions used to support them.*

# Disclosures

*[A] Sub-advised Investment Options include Principal Funds, Inc. mutual funds. Principal Funds, Inc is distributed by Principal Funds Distributor, Inc. Securities are offered through Princor Financial Services Corporation, 800-547-7754, member SIPC and/or independent broker/dealers. Securities sold by a Princor® Registered Representative are offered through Princor. Principal Funds Distributor, Princor, and Principal Life are members of the Principal Financial Group, Des Moines, IA 50392. Certain investment options may not be available in all states or U.S. commonwealths.*

*# Fixed Income Option is the Group Annuity Contract - Custodial Guaranteed Fund Contract available through Principal Life Insurance Company. This is not a sub-advised investment option. Guarantees are backed by all the assets in the Principal Life general account.*

*++ Investment options sub-advised by Principal Global Investors.*

*A mutual fund's share price and investment return will vary with market conditions, and the principal value of an investment when you sell your shares may be more or less than the original cost.*

*Percentile rankings are based on total returns in accordance with the appropriate Morningstar peer group.*

*Returns shown for periods of less than one year are not annualized. All returns displayed here are after Total Investment Expense of the investment option.*

*Annualized total returns measure net investment income and capital gain or loss from portfolio investments as an annualized average, assuming the reinvestment of dividends, and without adjusting for loads.*

*Insurance products and plan administrative services, if applicable, are provided by Principal Life Insurance Company. Principal mutual funds are part of the Principal Funds, Inc. series. Principal Funds, Inc. is distributed by Principal Funds Distributor, Inc. Securities are offered through Princor Financial Services Corporation, 800-547-7754, member SIPC and/or independent broker/dealers. Securities sold by a Princor® Registered Representative are offered through Princor. Principal Funds Distributor, Princor and Principal Life are members of the Principal Financial Group®, Des Moines, IA 50392. Certain investment options may not be available in all states or U.S. commonwealths.*

***Investors should carefully consider a mutual fund's investment objectives, risks, charges, and expenses prior to investing. A prospectus, or summary prospectus if available, containing this and other information can be obtained by contacting a financial professional, visiting principal.com, or calling 1-800-547-7754. Read the prospectus carefully before investing.***

*Past performance is not a guarantee of future results.*

*Investment options are subject to investment risk. Shares or unit values will fluctuate and investments, when redeemed, may be worth more or less than their original cost. This does not apply, however, to the guaranteed portions of group annuity contracts issued by Principal Life that constitute guaranteed benefit policies as defined in ERISA §401(b)(2)(B).*

*This report includes investment options that contain information from a variety of sources. A primary source is Morningstar which provides holdings information, operations data, and rankings or statistics proprietary to Morningstar. Morningstar is generally the source of information on mutual funds unaffiliated with the Principal.*

# Disclosures

*(C) 2012 Morningstar, Inc. All Rights Reserved. Part of the mutual fund data contained herein: (1) is proprietary to Morningstar and/or its content providers: (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete, or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.*

*For a Mutual Fund investment option, Total Investment Expense gross equals the sum of (a) the total fund operating expenses plus (b) if the mutual fund invests in other mutual funds, the weighted-average management fee of those other mutual funds, as listed in the most recent prospectus. The actual Total Investment Expense may change if the mutual fund investment option's allocation of assets to other mutual funds changes.*

*Any operating expenses of a mutual fund or underlying mutual fund that are part of net Total Investment Expense are obtained from the mutual fund's most recent prospectus. The operating expenses shown as part of Total Investment Expense include voluntary expense limits and fee credit. These expense reductions are not reflected in the fund's prospectus.*

*Stable Value funds are not available for Not For Profit clients.*

*See the Principal Funds, Inc. prospectus for the full name of each Fund.*

*1. Small-cap and mid-cap investment options are subject to more fluctuation in value and may have additional risks than other investment options with stocks of larger, more stable companies.*

*2. Each index based investment option is invested in the stocks or bonds of the index it tracks. Performance of indexes reflects the unmanaged results for the market segment the selected stocks or bonds represent. There is no assurance an index based investment option will match the performance of the index tracked.*

*3. International and global investment options are subject to additional risk due to fluctuating exchange rates, foreign accounting and financial policies, and other economic and political environments.*

*4. Real Estate investment options are subject to investment and liquidity risk and other risks inherent in real estate such as those associated with general and local economic conditions. Property values can decline due to environmental and other reasons. In addition, fluctuation in interest rates can negatively impact the performance of real estate investment options.*

*5. S&P 500 is a trademark of The McGraw-Hill Companies, Inc., and has been licensed for use by Principal Life Insurance Company and Principal Management Corporation. The product is not sponsored, endorsed, sold or promoted by Standard & Poor's and Standard & Poor's makes no representation regarding the advisability of investing in the product.*

*6. S&P SmallCap 600 is a trademark of The McGraw-Hill Companies, Inc. and has been licensed for use by Principal Life Insurance Company and Principal Management Corporation. The product is not sponsored, endorsed, sold or promoted by Standard & Poor's and Standard & Poor's makes no representation regarding the advisability of investing in the product.*

*7. This investment option is closed to new investors.*

# Disclosures

*9. These calculated returns reflect the historical performance of the oldest share class of the fund, adjusted to reflect a portion of the fees and expenses of this share class. For time periods prior to inception date of the fund, predecessor performance is reflected. Please see the fund's prospectus for more information on specific expenses, and the fund's most recent shareholder report for actual date of first sale. Expenses are deducted from income earned by the fund. As a result, dividends and investment results will differ for each share class.*

*10. Balanced/Asset Allocation investment options will not be scored using our current methodology. Instead, our review for these investment strategies focuses on the structure and consistency of the underlying asset allocation models and the capital market assumptions used to support them. Today, all of the Balanced/Asset Allocation options available on our investment platform meet our due diligence standards.*

*11. Principal Fixed Income Option is the Group Annuity Contract - Custodial Guaranteed Fund Contract available through Principal Life Insurance Company, a member of the Principal Financial Group, Des Moines, Iowa, 50392.*

*13. Equity investment options involve greater risk, including heightened volatility, than fixed-income investment options. Fixed-income investment options are subject to interest rate risk, and their value will decline as interest rates rise.*

*15. Fixed-income investment options are subject to interest rate risk, and their value will decline as interest rates rise. Neither the principal of bond investment options nor their yields are guaranteed by the U.S. government.*

*16. The Principal Fixed Income Option is an insurance product that provides a guaranteed crediting rate for specified periods of time. As an insurance product, this option does not have a fixed investment management fee or expense ratio; those are concepts unique to investment products. Rather, the product provides a guarantee that is backed by the General Account of Principal Life Insurance Company. The calculation of each guarantee includes some amount of expected costs and expenses. While we target a certain level of expense, there are many factors that can change our actual cost of providing the guarantee. This can include factors such as changes in the interest rate environment. While it is impossible to know the actual expense due to these factors, Principal Life Insurance Company, as a provider of administrative services to the plan, assumes that it will receive 65 basis points (from the expense built into the Principal Fixed Income Option) as part of the overall fee arrangement a plan pays for services from Principal Life. Principal Fixed Income Option is the Custodial Guaranteed Fund Group Annuity Contract available through Principal Life Insurance Company, a member of the Principal Financial Group, Des Moines, Iowa, 50392.*

*17. Fixed-income and asset allocation investment options that invest in mortgage securities are subject to increased risk due to real estate exposure.*

*21. This investment option maintains a voluntary waiver which is reflected in the value displayed for Total Investment Expense - Net. This waiver may be discontinued at any time.*

*23. The manager of the Fund, Principal Management Corporation, invests between 10% and 40% of the Fund's assets in common stocks in an attempt to match or exceed the performance of the Fund's benchmark index for performance.*

*25. Effective July 14, 2009, Brown Advisory was added as an additional sub-advisor. Performance results displayed reflect all sub-advisors managing this portfolio during the time periods displayed.*

*26. Asset allocation does not guarantee a profit or protect against a loss. Investing in real estate, small-cap, international, and high-yield investment options involves additional risks. Additionally there is no guarantee this investment option will provide adequate income at or through retirement.*

# Disclosures

*27. The Investment Advisor will display "Multiple Sub-Advisors" for certain target-date, target-risk and specialty investment options where the assets are directed by the Investment Manager to multiple underlying investment options. These underlying investment options may use multiple sub-advisors who are responsible for the day-to-day management responsibilities.*

*29. For Mutual Fund Network investment options, returns for all time periods, except the Since Inception time frame, may include the historical performance of the oldest share class of the fund, adjusted to reflect a portion of the fees and expenses of this share class. Since Inception returns display the actual return of this share class and do not reflect the adjusted returns of the oldest share class. Please see the fund's prospectus for more information on specific expenses, and the fund's most recent shareholder report for actual date of first sale. Expenses are deducted from income earned by the fund. As a result, dividends and investment results will differ for each share class.*

*30. This Principal LifeTime Fund indirectly bears its pro rata share of the management fees incurred by the underlying Principal Funds in which this fund invests. Based on the asset allocation of the Principal LifeTime Funds outlined in the prospectus dated February 29, 2012, the weighted average operating expenses of the underlying funds are: Principal LifeTime Strategic Income, 0.58%; Principal LifeTime 2010, 0.65%; Principal LifeTime 2015, 0.67%; Principal LifeTime 2020, 0.70%; Principal LifeTime 2025, 0.71%; Principal LifeTime 2030, 0.72%; Principal LifeTime 2035, 0.73%; Principal LifeTime 2040, 0.74%; Principal LifeTime 2045, 0.75%; Principal LifeTime 2050, 0.75%; Principal LifeTime 2055, 0.75%. While the operating expenses of the underlying mutual funds are not part of the Principal LifeTime Fund's operating expenses they are included in the Total Investment Expense. Performance results shown for the Principal LifeTime Fund reflect the application of these expenses.*

*32. The risks associated with derivative investments include that the underlying security, interest rate, market index, or other financial asset will not move in the direction the Investment Adviser and/or Sub-Advisor anticipated, the possibility that there may be no liquid secondary market, the risk that adverse price movements in an instrument can result in a loss substantially greater than a fund's initial investment, the possibility that the counterparty may fail to perform its obligations; and the inability to close out certain hedged positions to avoid adverse tax consequences.*

## Benchmark Descriptions

*Barclays Aggregate Bond Index represents securities that are domestic, taxable, and dollar denominated. The index covers the U.S. investment grade fixed rate bond market, with index components for government and corporate securities, mortgage pass-through securities, and asset-backed securities. These major sectors are subdivided into more specific indices that are calculated and reported on a regular basis.*

*Barclays U.S. Government/Credit 5-10 Year Index tracks the return of the U.S. Government/Credit with a maturity window of 5-10 years.*

*Blended Real Estate Index is composed of 75% NFI ODCE Equal Weight and 25% MSCI US REIT Index. The NFI ODCE Equal Weight is the NCREIF Fund Index-Open End Diversified Core Equity. It is a fund-level equal-weighted, time-weighted return index and includes property investments at ownership share, cash balances and Leverage. The return series is net of the average fee charged by accounts that make up the index. The MSCI US REIT Index is a capitalization-weighted benchmark index of most actively traded Real Estate Investment Trusts (REITs), designed to measure real estate performance.*

*MSCI - EAFE Index NDTR D is listed for foreign stock funds (EAFE refers to Europe, Australia, and Far East). Widely accepted as a benchmark for international stock performance, the EAFE Index is an aggregate of 21 individual country indexes.*

# Disclosures

*MSCI - Emerging Markets NDTR D Index measures equity market performance in the global emerging markets. It consists of 26 emerging market countries in Europe, Latin America and the Pacific Basin.*

*MSCI ACWI Ex USA Index is a free float-adjusted market capitalization index that is designed to measure the combined equity market performance of developed and emerging market countries excluding the US.*

*MSCI EAFE Value Index is a subset of the MSCI EAFE Index, which is an unmanaged index that measures the stock returns of companies in developed economies outside of North America. The MSCI EAFE Value Index consists of securities classified by MSCI as most representing the value style.*

*MSCI US REIT Index is a capitalization-weighted benchmark index of most actively traded Real Estate Investment Trusts (REITs), designed to measure real estate performance.*

*MSCI World NDTR D Index includes all 23 MSCI developed market countries. The "ND" indicates that the index is listed in U.S. dollars, with net dividends reinvested.*

*Principal LifeTime 2010 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2010 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2012 are 32.40% Russell 3000 Index, 11.60% MSCI EAFE Index, and 56.00% Barclays Aggregate Index.*

*Principal LifeTime 2020 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2020 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2012 are 47.45% Russell 3000 Index, 17.55% MSCI EAFE Index, and 35.00% Barclays Aggregate Index.*

*Principal LifeTime 2030 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2030 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2012 are 56.25% Russell 3000 Index, 21.00% MSCI EAFE Index, and 22.75% Barclays Aggregate Index.*

*Principal LifeTime 2040 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2040 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2012 are 62.80% Russell 3000 Index, 25.00% MSCI EAFE Index, and 12.20% Barclays Aggregate Index.*

*Principal LifeTime 2050 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2050 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2012 are 65.90% Russell 3000 Index, 27.60% MSCI EAFE Index, and 6.50% Barclays Aggregate Index.*

*Principal LifeTime Strategic Income Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime Strategic Income portfolio. The weightings as of March 31, 2012 are 19.40% Russell 3000 Index, 5.60% MSCI EAFE Index, and 75.00% Barclays Aggregate Index.*

# Disclosures

*Russell 1000 Growth Index is a market-capitalization weighted index of those firms in the Russell 1000 with higher price-to-book ratios and higher forecasted growth values.*

*Russell 1000 Value Index is a market-capitalization weighted index of those firms in the Russell 1000 with lower price-to-book ratios and lower forecasted growth values.*

*Russell 2000 Growth Index is a market-weighted total return index that measures the performance of companies within the Russell 2000 Index having higher price-to-book ratio and higher forecasted growth values.*

*Russell 2000 Value Index is a market-weighted total return index that measures the performance of companies within the Russell 2000 Index having lower price-to-book ratios and lower forecasted growth values.*

*Russell Midcap Growth Index is a market-weighted total return index that measures the performance of companies within the Russell Midcap Index having higher price-to-book ratios and higher forecasted growth values.*

*Russell Midcap Index includes firms 201 through 1000, based on market capitalization, from the Russell 3000 Index.*

*Standard & Poor's 500 Index is a market capitalization-weighted index of 500 widely held stocks often used as a proxy for the stock market.*

*Standard & Poor's 600 Stock Index is a small cap index that consists of 600 domestic stocks chosen for market size, liquidity, and industry group representation.*

# Glossary of Terms

**7 Day Yield** - The 7-Day Yield % more closely reflects the current earnings of this money market investment option than the total return displayed.

**Category Average Return** - Morningstar takes the average return of the funds that exist in a category for the time period and divide by the number of funds that exist for that time period. For calendar year category average returns, Morningstar includes funds that have merged, liquidated, or changed categories when calculating category averages.

**Total Investment Expense Gross** - The maximum expense ratio that can be applied to an investment option. This includes expenses and management fees, including 12b-1 fees, administrative fees, and all other asset-based costs incurred by the investment option, except brokerage costs.

**Morningstar Category** - The Morningstar Category identifies investment options based on their actual investment styles as measured by their underlying portfolio holdings (portfolio statistics and compositions over the past three years).

**Percentile Rankings** - Each investment's total returns are compared to other investments in the same Morningstar category for various time periods. Total returns are ranked on a scale from 1 to 100 where 1 represents the highest-returning 1% of investments and 100 represents the lowest returning investments.

**Scores - Comments** - Provides additional information on Sub-Advised Investment Options that may be relevant to the sub-advisor, investment option, or both.

**Scores - Qualitative Grade** - Qualitative rating that is assigned to Sub-Advised investment managers based on organization, investment philosophy and process and resources. Scale is Favorable, Neutral, and Less Favorable.

**Scores - Qualitative Score** - Numerical qualitative rating that is assigned to Sub-Advised investment managers based on organization, investment philosophy and process and resources. Scale is 1.0 – 4.0 (with 1.0 being the best).

**Scores - Qualitative Cautionary Status** - If a Sub-Advised investment manager is on the Watch List for qualitative reasons, this will be indicated by WL, a cautionary status of a Sub-Advised Investment Option which is meant to communicate an increased level of concern.

**Scores - Quantitative Grade** - Numerical quantitative rating that is assigned to investment option based on risk-adjusted index performance, peer performance and consistency. Scale is Favorable, Neutral, and Less Favorable. See Performance Review sections for greater detail about computation methodology and additional factors.

**Scores - Quantitative Score** - Numerical quantitative rating that is assigned to investment option based on risk-adjusted index performance, peer performance and consistency. Scale is 1.0 – 4.0 (with 1.0 being the best). See Performance Review sections for greater detail about computation methodology and additional factors.

**Scores - Quantitative Cautionary Status** - If a Sub-Advised Investment Option is on the Watch List for quantitative reasons, this will be indicated by WL. If a Sub-Advised Investment Option is placed on Probation for quantitative reasons, this will be indicated by PR, a cautionary status of a Sub-Advised Investment Option when long-term performance is below expectations and requires additional monitoring.

# Glossary of Terms

**Information Ratio** - The information ratio is a risk-adjusted measure commonly used to evaluate an active manager's investment skill. It is defined as the manager's excess return divided by the variability or standard deviation of the excess return. Information ratio is an excellent tool for evaluating a manager's level of skill because it simultaneously considers both the level of excess return as well as consistency in which the excess return was delivered to investors. Managers should strive for a positive information ratio, with higher numbers representing better results.

**Consistency Ratio** - A measure of how consistently the manager is able to exhibit positive excess returns. To calculate the consistency ratio, the number of months the manager had positive excess returns is divided by the total number of months. The higher the number, the better.

**Up-Market Capture Ratio** - A statistical measure of an investment option's performance relative to a comparative index in months in which that index has risen. An up-market capture ratio of greater than 100 would indicate that the investment option performed better than the comparative index during months in which the index had risen over a specified time period.

**Down-Market Capture Ratio** - A statistical measure of an investment option's performance relative to a comparative index in months in which that index has fallen. A down-market capture ratio of greater than 100 would indicate that the investment option performed worse than the comparative index during months in which the index had fallen over a specified time period.

**Morningstar Category** - The Morningstar Category identifies investment options based on their actual investment styles as measured by their underlying portfolio holdings (portfolio statistics and compositions over the past three years).

**Cautionary Status** - Our due diligence process has uncovered a concern with the investment option that requires further monitoring. For quantitative, or performance-related, concerns there are two levels of Cautionary Status: Watch List and Probation. For qualitative concerns, only Watch List status is applicable.

**Probation** - Probation may be assigned to an investment option for the following reasons:

- An investment option has been removed from the Quantitative Watch List because the due diligence process has determined that the manager(s) has made improvements in the short-term that have the potential to be sustainable over the long term. However, long-term performance is still below our expectations and requires additional monitoring.
- An investment option has been removed from the Quantitative Watch List because the due diligence process has determined that the underperformance that led to Watch List status is explainable in light of the process used by the manager(s) based on the market environment at that time. However, long-term performance is still below our expectations and requires additional monitoring.
- A manager(s) is removed from an investment option due to performance reasons but the investment option's long-term performance is still below our expectations and requires additional monitoring. In this situation, the due diligence process recognizes that while removal of the underperforming manager(s) has the potential to improve performance, the long-term performance history still reflects the manager(s) that have led to the underperformance.

  The status of Probation is conferred on an investment option for an indefinite period of time. However, the due diligence process can remove a manager at any time, including while on Probation. Probation status is lifted only after the investment option scores "Favorable" for one quarter based on the quantitative scoring criteria of the due diligence process, which focuses on three- and five-year results.

# Glossary of Terms

**Investment Advisor** - May include Registered Investment Advisers as defined in the Advisers Act of 1940, Investment Advisers as defined in the Investment Company Act of 1940, as well as a company employed by the investment option's advisor to handle the investment option's day-to-day management. In these instances, the portfolio manager generally works for the fund's subadvisor, and not the advisor. See definition of Multiple Sub-Advisor appearing elsewhere in this presentation for greater detail about Sub-Advisors.